

Logging into Bharat

With the launch of its new feature phone, Reliance Jio hopes to make the most from the transition of 2G feature phone users to 4G services

BY KRISHNA GOPALAN

▶ **INDIA'S LARGEST TELECOM** operator Reliance Jio Infocomm has launched the Jio Bharat V2 phone at ₹999, which the company claims is the lowest priced internet-enabled phone. It can be bought with a monthly plan of ₹123 (apart from the ₹999 for the phone), where customers get unlimited voice calls and 14 GB data every month.

This comes after Mukesh Ambani, Chairman & MD of Reliance Industries, had launched the JioPhone with 4G-enabled features in July 2017. After disrupting the voice and data market in 2016, this was the next salvo from the petrochemicals-to-telecom conglomerate. At a price of just ₹1,500 (to be refunded over three years), the phone was eminently attractive as an inexpensive internet-enabled phone. That's not all, as the 2018 annual general

BRIDGING THE GAP

By acting as a middle ground between a 2G feature phone, a smartphone, and 4G the Jio Bharat phone expects to bridge the digital divide in India

meeting saw the JioPhone 2 being launched at ₹2,999. Ambani had also revealed the sales of 25 million JioPhone units by then.

Tarun Pathak, Research Director-Devices and Ecosystems at Counterpoint Technology Market Research, believes the strategy behind the launch of the JioPhone between 2017 and 2018, compared to what we see now is very different. "JioPhone was aimed at democratising internet usage and 4G adoption in India and it helped [the company] in gaining a foothold by selling more than 100 million units so far," he says. "The goal of Jio Bharat is to shift the 250 million-plus feature phone users, which still remains elusive to the internet economy, to a 4G device."

The transition to a smartphone has not taken place for this segment of users due to a steep learning curve and the high cost of ownership. "Jio Bharat wants to bridge that gap by acting as a middle ground between a 2G feature phone, a smartphone, and 4G. This device can help users experience key services like digital payments, content, and more for the first time through Jio's ecosystem," he explains. A statement from the company said the launch of Jio Bharat will mark the beginning of digital freedom for the 250 million feature phone users in India and help to bridge the digital divide.

How much impact the new product makes is difficult to estimate right now. "The disruption with Jio Bharat might not be as sudden and vast as it was with the JioPhone in 2018, due to a different strategy, and vastly different market scenario now. But, some 2G feature phone users from competition might move to Jio's 4G network," says Pathak.

Quite clearly, Jio is playing the long game as it looks to make the most of the untapped user base. **BT**

@krishnagopalan

Turn to page 88 for a related story

**FEATURE PHONE
USERS HAVE
NOT MOVED TO
4G-ENABLED
DEVICES DUE TO A
STEEP LEARNING
CURVE AND
HIGH COST OF
OWNERSHIP**

